spiral. They both had their jobs and could make their house payment and buy the basic necessities of life. Their kids didn't go hungry and they had clothes and school supplies. They worked hard and did not spend frivolously, yet they were not able to save for emergencies, for their kids' college funds, or their own retirement. Ed and Sue never could get ahead and it was frustrating.

Their neighbors, Steve and Maria, were beyond frustrated. They were scared. They had both lost their jobs at the same time, and the bills seemed to pile up immediately. They had carried a balance on the credit cards before they lost their jobs, as millions of Americans do. When they started relying on the credit cards to pay for gas and groceries, and had no immediate job prospects in sight, they started to panic. The credit card bills quickly swelled into a giant mess and the interest escalated the problem. They jumped to the assumption that the only escape was bankruptcy.

We've Got Company

Ask anyone you know, and I bet they have a debt story to share. The odds are stacked against the average working citizen. We have mentioned that the average American has $8000 in credit card debt. I've seen some figures show it as high as $11,000. No matter – the fact is that we are carrying large credit card debt. Throw in the car loan, and the approximate debt goes up to $18,700 per U.S. household. Now add in a mortgage payment, and it is no wonder that just taking care of shelter, food, and transportation is a difficult task these days for most families.

Most debt and credit books on the market today talk about how to cure debt by curbing your spending and "cutting out the fat." They make you think that it is something you did that created the wild debt problem. It is plain to see that the real crisis is not the spending habits of the American public, but the aggressive practices of the American consumer lending industry. Most folks are not in debt because they have a gambling problem or a shopping addiction. Those are isolated occurrences, and not the norm.